Name: _____
Principles of Microeconomics
Reading Check: Ch. 5 Intro - 5.1.

1. Which of the following is *not* a determinant of the price elasticity of demand for a good?

   (a) The time horizon
   (b) The steepness of the supply curve for the good
   (c) The definition of the market for the good
   (d) The availability of substitutes for the good

Name: _____
Principles of Microeconomics
Reading Check: Ch. 5 Intro - 5.1.

1. If the price elasticity of demand for a good is 2, then a 10 percent increase in price results in a

   (a) 0.2 percent decrease in the quantity demanded.
   (b) 5 percent decrease in the quantity demanded.
   (c) 20 percent decrease in the quantity demanded.
   (d) 40 percent decrease in the quantity demanded.

Name: _____
Principles of Microeconomics
Reading Check: Ch. 5 Intro - 5.1.

1. Elasticity of demand is closely related to the slope of the demand curve. The more responsive buyers are to a change in price, the

   (a) steeper the demand curve will be.
   (b) flatter the demand curve will be.
   (c) further to the right the demand curve will sit.
   (d) closer to the vertical axis the demand curve will sit.

Name: _____
Principles of Microeconomics
Reading Check: Ch. 5 Intro - 5.1.

1. Cross-price elasticity of demand measures how

   (a) the price of one good changes in response to a change in the price of another good.
   (b) the quantity demanded of one good changes in response to a change in the quantity demanded of another good.
   (c) the quantity demanded of one good changes in response to a change in the price of another good.
   (d) strongly normal or inferior a good is.

Name: _____
Principles of Microeconomics
Reading Check: Ch. 5.2. - 5.3.

1. A key determinant of the price elasticity of supply is the

   (a) time horizon.

   (b) income of consumers.

   (c) price elasticity of demand.

   (d) importance of the good in a consumer's budget.

Name: _____
Principles of Microeconomics
Reading Check: Ch. 5.2. - 5.3.

1. If the price elasticity of supply is 1.6, and a price increase led to a 4.8 percent increase in quantity supplied, then the price increase is about

   (a) 6.4 percent.

   (b) 0.33 percent.

   (c) 3 percent.

   (d) 3.2 percent.

Name: _____
Principles of Microeconomics
Reading Check: Ch. 5.2. - 5.3.

1. Suppose that two supply curves pass through the same point. One is steep, and the other is flat. Which of the following statements is correct?

   (a) The flatter supply curve is more inelastic.

   (b) The steeper supply curve is more inelastic.

   (c) The two curves have the same elasticity.

   (d) If demand decreases, then total revenue will increase in the market with the steeper supply curve.

Name: _____
Principles of Microeconomics
Reading Check: Ch. 5.2. - 5.3.

1. Which of the following statements is valid when the market supply curve is vertical?

   (a) Market quantity supplied does not change when the price changes.

   (b) Supply is perfectly elastic.

   (c) An increase in market demand will increase the equilibrium quantity.

   (d) An increase in market demand will not increase the equilibrium price.